ADDENDUM TO DIRECTORS' REPORT

AUDITORS' REPORT & MANAGEMENT REPLY ON STANDALONE FINANCIAL STATEMENT

AUDITORS' REPORT	MANAGEMENT'S REPLY
To The Members Central Coalfields Limited,	
Report on the Audit of Standalone Ind AS Financial Statements	
Opinion	
We have audited the accompanying Standalone Ind AS financial statements of **M/s. Central Coalfields Limited** ("the Company") which comprise the balance sheet as at 31st March 2021, and the statement of Profit and Loss (Including Other Comprehensive Income), statement of changes in equity and statement of cash flows for the year then ended, and notes to the standalone Ind AS financial statements, including a summary of significant accounting policies and other explanatory information, in which are included the Returns for the year ended on that date audited by the Branch/ Area Auditors of the Company's branches/ areas located at Kathara, Dhori, Giridih, Bokaro & Kargali, Kuju, North Karanpura, Piparwar, Magadh & Amrapali, Rajhara, Charhi and remaining six (6) Branches/ areas audited by us.	
In our opinion and to the best of our information and according to the explanations given to us, and based on the consideration of reports of the other auditors, the aforesaid Standalone Ind AS financial statements give the information required by the Act in the manner so required and give true and fair view in conformity with the accounting principles generally accepted in India, including the Ind AS, of the financial position of the company as at 31st March, 2021 and its financial performance including other comprehensive income, its cash flow and the statement of changes in equity for the year ended on that date.	
Basis for Opinion	
We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the standalone Ind AS Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone Ind AS financial statements	

AUDITORS' REPORT	MANAGEMENT'S REPLY
under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibility in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.	
Emphasis of Matters	
We draw attention to the following matters:	
a) Contingent liability of Rs.13568.50 crores (Previous year- Rs.13568.50 crores), towards penalty for mining of coal in excess of the environmental clearances limit in respect of 42 mines. (Note No 38 refer para 4(a)(I) to the Standalone Ind AS financial statements)	It is adequately disclosed under contingent liability in the additional note to the financial statements (refer para 4(a) of Note 38).
b) Balances of Loans, other financial assets, other current & non-current assets, trade payables, other financial liabilities and other current liabilities have not been confirmed in most cases. Consequent impact on confirmation/ reconciliation/ adjustment of such balances, if any is not ascertainable. Our opinion is not modified in respect of this matter.	Balance confirmation letters have been issued to parties in respect of trade receivables, trade payable and advances. The balance with major sundry debtors is reconciled at regular intervals and joint reconciliation statements are also signed by both the parties.
c) Washed medium coking Coal (WMCC) was being supplied by CCL at mutually agreed price under an MOU to M/s SAIL & M/s RINL. However, no MOU has been signed between CCL & SAIL/RINL for the Financial Year 2017-18 and onwards. From 1/4/2017, the price of WMCC has been revised quarterly, using an import parity- based Pricing Mechanism adopted by CCL as envisaged under New Coal Distribution Policy (NCDP) under which the CCL has been raising invoices to SAIL/RINL as per notified price. Due to non-execution of MOU for the Financial Year 2017-18 and onwards, SAIL/RINL requested to appointed an external agency for price fixation mechanism. Accordingly, CCL appointed PWC for fixation of a transparent import parity-based price mechanism and is under process of finalization. However, under an interim arrangement w.e.f 28/07/2018, CCL agreed to supply WMCC at an ad hoc price of Rs 6500/- per tonne. Pending fixation of a transparent import parity-based price mechanism by external agency, SAIL had requested to implement the recommendations of external agency to be made applicable from 01/04/2017 instead of 28.07.2018. However, CCL decided that the price as determined by External Agency shall be applicable w.e.f 28/07/2018 and not retrospectively and accordingly, sales prior to applicability of ad hoc price, has been recognized at the quarterly revised notified price.	It is adequately disclosed under additional notes to the financial statements (refer point no. 7.16 of Note 38).

AUDITORS' REPORT	MANAGEMENT'S REPLY
(Para 7.16 to Note 38 to the Standalone Ind AS financial statements) In view of the above, no adjustments have been done for the amount remaining unpaid for the difference in price against the supplies made of WMCC by CCL to SAIL/RINL for the period from 01.04.2017 to 30.06.2018 amounting to Rs. 414.87 Crores. Our opinion is not modified in respect of this matter.	
d) Pending analysis of grade of contaminated clean coal of 83795 MT is lying at Kathara Washeries since 1995-96 presently valued at NIL (Annexure to Note No. 12 Standalone Ind AS financial statements).	It is adequately disclosed under foot note no. 4 of Annexure to Note-12.
e) We draw attention para 7.19 to Note 38 to the Standalone Ind AS financial statements, which explain the impact of COVID-19 pandemic on the company's operation and the results as assessed by the management. Our opinion is not modified in respect of the above matter.	It is adequately disclosed under Additional Notes to the Financial Statements (Refer Point No. 7.19 of Note-38)
f) Refer to Para 7.17 to Note 38 to the Standalone Ind AS financial statements. Government of Jharkhand has raised a demand of Rs. 26218.15 crores against 36179.30 acres of Government land, under the command area of CCL. The tentative liability as computed by the CCL for compensation of Govt. Land subject to verification by state Authorities is Rs. 778.62 Cr. against 5392.75 acres of land. However, pending reconciliation with the state authorities, Jharkhand Govt., the total final liability payable against the compensation of Land, is presently not ascertainable. Our opinion is not modified in respect of the above matter.	It is adequately disclosed under Additional Notes to the Financial Statements (Refer Point No. 7.17 of Note-38)
g) The company has not recognised liability based on actuarial valuation for CPRMS-NE for "On roll Non-executive employees". The amount is not ascertainable. (Refer to Para 3.3 & Note 38 to the Standalone Ind As financial statements). Our opinion is not modified is respect of the above matter.	The actuarial Liability for on roll non-executive employees will be carried from the financial year 2021-22.

Key Audit Matters

AUDITORS' REPORT	MANAGEMENT'S REPLY

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone Ind AS financial statements of the current period. These matters were addressed in the context of our audit of the standalone Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sl.	Key Audit Matter	Auditor's Response
1.	**Stripping Activity Expense/ Adjustment** In case of opencast mining, the mine waste materials ("overburden") which consists of soil and rock on the top of coal seam is required to be removed to get access to the coal and its extraction. This waste removal activity is known as 'Stripping'. In opencast mines, the company has to incur such expenses over the life of the mine (as technically estimated). Therefore, as a policy, in the mines with rated capacity of one million tons per annum and above, cost of Stripping is charged on technically evaluated average stripping ratio (OB: COAL) at each mine with due adjustment for stripping activity asset and ratio-variance account after the mines are brought to revenue. Net of balances of stripping activity asset and ratio variance at the Balance Sheet date is shown as Stripping Activity Adjustment under the head Non-Current Provisions / Other Non-Current Assets as the case may be. The report ed quant it y of overburden as per record is considered in calculating the ratio for OBR accounting where the variance between reported quantity and measured quantity is within the permissible limits. However, where the variance is beyond the permissible limits as above, the measured quantity is considered.	**Principal Audit Procedures** We performed the following substantive procedures: Obtained working data of Stripping Adjustment and checked that the total expense incurred during the year is allocated between Coal production and Overburden. Ensured about accuracy and completeness of expenses considered in calculation of ratio. Chec k ed t hat t he r at io variance is calculated on the basis of amount allocated to overburden and OB quantity extracted during the year correctly. Performed analytical procedures and test of details for reasonableness of expenses considered stripping activity adjustment calculation. Checked that the accounting po li cy app li ed an d management's judgments used for Stripping Activity Adjustment are appropriate. Audit Conclusion: Our procedures did not identify any material exceptions.

No Comments.

AUDITORS' REPORT			MANAGEMENT'S REPLY
Sl.	Key Audit Matter	Auditor's Response	
2.	**Ind AS 115 "Revenue from Contracts with Customers"** In the st andalone I nd AS financial statements in respect of accuracy of revenue recognition and adjustments for coal quality variances involves critical estimates. The revenue recognized by the Company in a particular contract is dependent on the sale agreement / allotment in e-auction for the respective customer. Subsequent adjustments are made to the transaction price due to grade mismatch/slippage of the transferred coal. The variation in the contract price if not settled mutually between the parties to the contract is referred to third party testing and the company estimates the adjustments required for revenue recognition pending settlement of such dispute. Such adjustments in revenue are made on estimated basis following historical trend. Ref er t o Not e 24. t o t he Standalone Ind AS Financial Statements..	**Principal Audit Procedures** We have assessed the application of the provisions of Ind AS 115 in respect of the Company's revenue recognition and appropriateness of the estimated adjustments in the process. We have selected transactions on sample basis and tested for identification of contracts involving disputes relating to grade mismatch/ slippage with respect to the terms of the contract, evaluation of the satisfaction of performance obligation checking the adjustment to the revenue due to variation in transaction price We have performed tests to establish the basis of estimation of the consideration and whether such estimates are commensurate with the accounting policy of the Company. **Audit Conclusion:** Our p ro ce du res d i d not identify any material exceptions.	No Comments.
3.	**Assessment of provisions and contingent liabilities in respect of certain litigations including direct and indirect taxes, various claims filed by other parties not acknowledged as debt.** A high level of judgment is required in estimating the level of provisioning. The company's assessment is supported by the facts of matter, their own judgment, past experience, and advice from legal and independent tax consultant wherever considered necessary. Accordingly, unexpected adverse outcomes may significantly impact the company's reported profit and net assets. Associated uncertainty relating to the outcome requires application of Judgment in interpretation of law. Refer Note 38 para 4(a)(i) to the Standalone Ind AS Financial Statements.	**Principal Audit Procedures** Our audit was focused on analyzing the facts of subject matter under consideration and judgments/ interpretation of relevant law. - Examining recent orders and/or communication received from various Tax authorities/ judicial forums and follow up action thereon. - Understanding the current status of the litigation/tax assessments. - Evaluating the merit of the subject matter under consideration with reference to the grounds presented t herein and available independent legal / tax advice. - Review and analysis of the contentions of the company through discussion, collection of details of the subject matter under consideration, the likely outcome and consequent potential outflows on those issues. **Audit Conclusion:** Our procedures did not identify any material exceptions	No Comments.

AUDITORS' REPORT			MANAGEMENT'S REPLY
Sl.	**Key Audit Matter**	**Auditor's Response**	No Comments.
4.	**Modified Audit Procedures carried out in light of COVID-19 Pandemic:** In view of the Government imposed lockdown due to Covid-19, strict timeline to conclude audit & travel restrictions to visit the area office to examine the original documents and records during the period of our audit, the audit was conducted through remote location wherever physical access was not possible. As we could not gather audit evidence in person or physically or through discussions and personal interactions with the officials at these Branch/ Areas, we have identified such modified audit procedures as a Key Audit Matter. Due to the COVID-19 pandemic that caused lockdown and other travel restrictions imposed by the state governments/local administration during the period of our audit, we could not travel to some of the Branch/ Areas and carry out the audit processes physically at the respective offices. Wherever physical access was not possible, necessary records, reports, documents and certificates were made available to us by the unit through digital medium and emails. To this extent, the audit process was carried out on the basis of such documents, reports and records digitally made available to us which were relied upon as audit evidence for conducting the audit and the opinion expressed based on information, facts and scanned documents made available by the management while reporting for the current period. Such restrictions in performing audit procedures have enhanced the risk in effectively carrying out the audit and the quality of audit evidence gathered by us. Accordingly, we modified our audit procedures	**Principal Audit Procedures** • Conducted verification of necessary records and documents electronically through remote access vide emails in respect of some of the Branch/ Areas wherever physical access was not possible. • Carried out verification of scanned copies of the documents, deeds, certificates and the related records made available to us through emails. • Mak ing enquiries and gathering necessary audit evidence through dialogues and discussions over phone calls/conference calls, emails and similar communication channels. • Resolution of our audit observations telephonically/ through email instead of a face-to-face interaction with the designated officials. **Audit Conclusion:** Our procedures did not identify any material exceptions	

AUDITORS' REPORT	MANAGEMENT'S REPLY

Information other than the Standalone Ind AS Financial Statements and Auditor's Report thereon

The Company's management and Board of Directors are responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexure to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the Standalone Ind AS financial statements and our auditors' report thereon.

Our opinion on the Standalone Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Standalone Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Standalone Ind AS financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. As the Other Information has not been provided to us, we have nothing to report in this regard.

When we read the Annual report, which is expected to be made available to us after the date of this auditors' report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management for the Standalone Ind AS financial statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone Ind AS financial statements that give a true and fair view of the financial position, financial performance, including other comprehensive income and cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act, read with relevant rules issued thereunder. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application

AUDITORS' REPORT	MANAGEMENT'S REPLY

of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Standalone Ind AS financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibility for the Audit of the Standalone Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the Standalone Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Ind AS financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error,

AUDITORS' REPORT	MANAGEMENT'S REPLY

as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone Ind AS financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone Ind AS financial statements, including the disclosures, and whether the standalone Ind AS financial. statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the standalone Ind AS financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Standalone Ind AS financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Standalone Ind AS

AUDITORS' REPORT	MANAGEMENT'S REPLY
financial statements. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone Ind AS financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication. **Other Matter**	
(a) We did not audit the financial statements / information of 10(Ten) branches/ areas included in the Standalone Ind AS financial statements of the company whose financial statements reflect total assets of Rs. 6703.08 crores as at 31st March 2021 and total revenues of Rs. 10412.94 crores for the year ended on that date, as considered in the Standalone Ind AS financial statements. The financial statements/ information of these branches/ areas have been audited by the Branch/ Area Auditors whose reports have been furnished to us, and in our opinion so far as it relates to the amounts and disclosures included in respect of these branches/ areas, is based solely on the reports of such Branch/ Area Auditors.	No Comments.
(b) As per the Accounting policy "Company stipulates the defined contribution plan in which company pays fixed contribution into the fund i.e., Coal Mine Provident Fund constituted under an enactment of law. The Coal Mines Provident Fund and Miscellaneous Provision Act 1948 stipulates that employee deployed in a coal mine should have to be registered under Coal Mines	The matter has been taken up at CIL.

AUDITORS' REPORT	MANAGEMENT'S REPLY
Provident Fund and Coal Mines Pension Scheme regulated under the above act. The coal workers deployed by company in departmental mode are employees of company and are registered under the above act. However, the coal workers deployed in company's mines by its outsourcing contractors are registered under Employee Provident Fund (EPF) which is deviation & Non-compliance of provision of above Act. The matter is being dealt by CIL as a whole.	
(c) Provision for Leave Encashment is assessed & certified by authorized actuary on the basis of data related to No. of employees, no. of leaves credited as on date & basic salary of the employees provided by CCL. As on 31st March 2021, Basic data of around 1503 no. of employees are having Negative leave balance in their leave account due to non- updation of leave balances of employees. As per information & explanation provided by the management, in respect of above irregularity, capturing of Employee master data has already been taken up & ERP implementation is under process. Our opinion is not modified in respect of these matters.	The matter is under consideration. About 600 cases has already been rectified. However, ERP implementation is in process and Employee master data is being captured. ERP System is expected to go live by Sept. 2021 and will not accept any negative leave balance.
(d) As per the clause 9.2 of Model Fuel Supply Agreement (FSA) & clause 8.2 of FSA with NTPC plants, it allows to charge coal transportation charges against the supply of coal to its customer located beyond the distance of 3 kms. CCL is charging the coal transportation charges for lead range of 0-3 km also in respect of such customers. However, some of the areas of NTPC has disputed the claims of transportation charges for the part of lead range of 0-3 kms taking plea of FSA clause. The matter is taken up by CIL for resolution of dispute. As such, as explained by management the outstanding from the plants are recoverable and therefore provision, if any will be made after the outcome of AMRCD decision. Therefore, no adjustment have been done for the amount of Rs. 1.94 Cr. as disputed by NTPC.	The matter has been taken up by CIL at AMRCD on behalf of all the subsidiaries for resolution of dispute.
(e) Contingent liability includes Rs. 809.10 crore (P.Y. Rs. 809.04 crore) disputed income tax demands. This amount consists of principal and interest up to date of demand. The interest for the period from date of notice of demand to date of Balance Sheet has neither been calculated nor included in contingent liability. (Note No 38 refer para 4(a)(I) to the Standalone Ind AS financial statements.)	The management has reviewed contingent liability and disclosed it in financial statements as per requirement of Ind As-37. However, due to Covid -19 restrictions imposed by state govt, legal opinion could not be obtained.

AUDITORS' REPORT	MANAGEMENT'S REPLY
(f) In case of Piparwar Area, there is a liability of Rs 768.58 lacs towards Provident fund at the year end, out of which Rs 724.24 lacs has been paid in April 2021 leaving an unpaid balance of Rs 44.34 lacs according to the management is a liability relating to earlier years subject to reconciliation.	The dues are under reconciliation.
(g) We have placed reliance on: I. The mine closure plan prepared by the Central Mine Planning and Design Institute Limited (CMPDIL) and approved by the management of the CCL for the purpose of making provision towards Mine Closure expenses. II. The Management's evaluation/estimates, whether technical or otherwise for making the provision towards impairment of fixed assets.	
(h) Our Report on the Standalone Financial statements dated June 04, 2021 as approved by the Board of Directors of the Company is revised to incorporate observations by the Comptroller and Auditor General of India and amendments to add point '(g)' read as "The company has not recognized liability based on actuarial valuation for CPRMS-NE for "Onroll Non-executive employees". The amount is not ascertainable (Refer to para 3.3 of Note 38 to the Standalone Ind AS financial statements) under the "Emphasis of matters" Paragraph, and to replace the number of employees to read as 1503 on of employees in place of 1173 no. of employees in point 'c' and to add the para at the end of point 'd' to include 'As such, as explained by management the outstanding from these plants are recoverable and therefore provision, if any, will be made after the outcome of AMRCD decision. Therefore, no adjustments have been done for the amount of Rs. 1.94 Cr. as disputed by NTPC.' & adding point (h) {this para}' under the "Other Matters Paragraph", and amendment made in Para (1) of Annexure 'A' in auditor's reply column of S. No. 2, under part II-Additional directions to amend & replace with the para to read as" There is no such case of Split & merger/re-structure of an area during the year, except restructure of the Magadh & Amrapali Area into two separate areas namely "Magadh & Sanghmitra Area" and "Amrapali & Chandragupta Area", notification for which was issued as on 31.10.2020 by Empowered Committee of Functional Directors (ECFD) OF CCL and is under process. and amendment in	

AUDITORS' REPORT	MANAGEMENT'S REPLY

Appendix 1 referred to in clause vii to Annexure B of para (2) under the column-heading of 'Payment under protest' & 'Amount not deposited' in certain cases, in the total column to read as Rs. 990.94 Cr. in place of Rs. 986.68 Cr. & Rs. 4211.40 Cr. in place of Rs. 4215.66 Cr. respectively and amendments made in Para (3)(a) to replace the words with "clauses (a), (b), (c), (d), (e), (f) & (g)" instead of "clauses (a), (b), (c), (d), (e) & (f)" under "Report on other Legal & Regulatory Requirements."

This audit Report has no impact on the reported figures in the Standalone financial statements of the Company. This audit report supersedes the original audit report on Standalone financial statements dated June 04, 2020.

Our audit procedures on events subsequent to the date of original report is restricted solely to the addition of para (g) under the "Emphasis of Matters" Paragraph, & amendments/addition in point (c), (d) & point (h) {this para}" under the "Other Matters Paragraph", and in Para (1) of Annexure 'A' in auditor's reply column of S. No.2, under Part II, -Additional directions "& Appendix 1 referred to in clause vii to Annexure B of para (2) & in para (3)(a) of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Standalone Financial Statements.

Our opinion is not modified in respect of these matters.

Report on other Legal and Regulatory Requirements

1. As required under section 143(5) of the Companies Act 2013, we give in the **"Annexure A"**, a statement on the Directions/Additional Directions issued by the Comptroller and Auditor General of India after complying the suggested methodology of Audit, the action taken thereon and its impact on the accounts and the Standalone Ind AS financial statements of the Company.
2. As required by the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in **"Annexure B"** a statement on the matters specified in paragraphs 3 and 4 of the Order.
3. As required by Section 143(3) of the Act, we report that:

AUDITORS' REPORT	MANAGEMENT'S REPLY
a. we have sought and obtained all the information and explanations which to the best of our knowledge and belief	
a. we have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid standalone Ind AS financial statements read with as reported in clauses (a), (b), (c), (d), (e), (f) & (g) of the "Emphasis of Matters" paragraph above.	
b. In our opinion proper books of account as required by law relating to preparation of the aforesaid standalone Ind AS financial statements have been kept by the Company so far as appears from our examination of those books and the reports of the other auditors.	
c. The reports on the accounts of the branch offices of the Company audited under Section 143(8) of the Act by Branch/ Area Auditors have been sent to us and have been properly dealt with by us in preparing this report.	
d. The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, the Cash Flow Statement and the Statement of Change in Equity dealt with by this Report, including the statements of branches/ areas audited by Branch/ Area Auditors, are in agreement with the books of account.	
e. In our opinion, the aforesaid Standalone Ind AS financial statement comply with the Accounting Standards specified under section 133 of the Act read with relevant Rule issued thereunder.;	
f. In pursuance of the Notification No. G.S.R.463 (E) dated 05.06.2015 issued the Ministry of Corporate affairs, section 164(2) of the Act, pertaining to disqualification of Directors is not applicable to the Government company.	
g. With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure C". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.	
h. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:	

AUDITORS' REPORT	MANAGEMENT'S REPLY
i. The company has disclosed its pending litigations under Additional Note 38 of the Standalone Ind AS financial statement. The impact, if any, of these litigations will be given effect to as and when the same are determined/settled. ii. The Company has made provisions as required under the applicable law or accounting standards, for material foreseeable losses if any, on long term contracts including derivative contracts. iii. As per the written representation received from the management, there were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.	

For **K.C.Tak & CO.**
CHARTERED ACCOUNTANTS,
(Firm Registration No. 000216C)

(CA Anil Jain)
Partner
(M. No. 079005)

Place:Ranchi
Dated :20.07.2021
UDIN - 21079005AAAAAS4770

Annexure "A" referred to in paragraph 1 of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Standalone Ind AS financial statements for the year ended March 31, 2021, we report that;

PART - I

AUDITORS' REPORT	MANAGEMENT'S REPLY
1. Whether the company has system in place to process all the accounting transactions through IT systems? If yes, the implication of processing of accounting transactions outside IT systems on integrity of the accounts along with the financial implications, if any may be stated.	
The company has a system in place to process accounting transactions through Coal Net system/IT that has been customized to integrate the various functional modules. The areas mostly covered in the applications are: Finance, Sales & Marketing, Payroll, Material Management, Personnel and others. However, full integration is not yet achieved for items such as: ***1. All calculations related to Fixed Assets are Maintained in spreadsheet format.*** ***2. GST (RCM) and TDS are calculated manually during the bill payment to suppliers or contractors and subsequently entered in the IT system.*** ***3. Payroll system is not integrated with Accounts. Relevant entries are passed manually into accounting system.*** ***4. Sales module is not linked with dispatch of coal. Also, stock register for movement of coal is not processed through IT system.*** ***5. Schedules in respect of capital items are not integrated with Coal Net system and prepared and updated manually in excel form.*** ***Inadequacies in design of information technology systems have been reported in our report on the Internal Financial Controls.*** ***As informed by the management, the company is in the process of implementing ERP that will integrate all operational process with financial module on real time basis to ensure seamless movement of data across different modules with minimum intervention. The Financial implications, if any, are unascertainable.***	All the accounting transactions are processed through Coal Net System
2. Whether there is any restructuring of an existing loan or cases of waiver/ write off of debts/ loan/ interest etc, made by lender to the company due	

AUDITORS' REPORT		MANAGEMENT'S REPLY
	to the company's inability to repay the loan?	
	If yes, the financial impact may be stated. Whether such cases are properly accounted for? (In case, lender is a government company, then this direction is also applicable for statutory auditor of lender company)	
	There is no such case of restructuring of an existing loans or cases of waiver/write off of debts/loans/interest etc. made by a lender to the company's inability to repay the loan during the year or any period of time, hence not applicable.	No Comments.
3.	Whether funds received/receivable for specific schemes central/state agencies were properly accounted for/utilized as per its terms and conditions?	
	List the cases of deviation.	
	As per information and explanation given to us, Company has received reimbursement of the funds incurred under CCDAC scheme against the railway siding/road being constructed by EC Railways. The same has been properly accounted for and utilized as per the terms and conditions laid down by the Central Government.	No Comments.

PART- II

ADDITIONAL DIRECTIONS

AUDITORS' REPORT	MANAGEMENT'S REPLY
1. Whether coal stock measurement was done keeping in view the contour map. Whether physical stock measurement reports are accompanied by contour maps in all cases? Whether approval of the competent authority was obtained for new heap, if any created during the year.	
As per information and explanation given to us, stock measurements are done as per guideline of CIL Annual Coal Stock Measurement keeping in view the contour map which is accompanied with the measurement report. Further, any new heap is created only after approval of the competent authority.	No Comments.
2. Whether the company has conducted physical verification exercise of assets and properties at the time of merger/split/re-structure of any area. If so, whether the concerned subsidiary followed the requisite procedure.	
There is no such case of Split & merger/ re-structure of an area during the year, except restucture of Magadh & Amrapali area into two separate Areas namely "Magadh & Sanghmitra Area" and "Amrapali & Chandragupt Area"; notification for which was issued on 31.10.2020 by Empowered Committee of Functional Directors (ECFD) of CCL and is under process.	No Comments.
3. Whether separate escrow accounts for each mine has been maintained in CIL and its subsidiary companies. Also examine the utilization of the fund of the account.	
As "per information and explanation given to us, Escrow Account for 64 mines has been maintained and during the year, the company has received sum of Rs. 194.42 crores (P.Y. Rs. 77.35 Crs.) for mine closure activities after obtaining approval from the Coal Controller Office. However, Escrow account in respect of 2 mines namely Tapin South OC and Rajhara OC have not yet been opened.	No Comments.
4. Whether the impact of penalty for illegal mining as imposed by the Hon'ble Supreme court has been duly considered and accounted for?	

AUDITORS' REPORT	MANAGEMENT'S REPLY
Pursuant to the order of the Hon'ble Supreme Court of India, District Mining Offices of Jharkhand had raised a demand of Rs. 13568.50 crores (PY Rs. 13568.50 crores) for mining in excess of the environmental clearances limit in 42 mines. Against the said demand, the company has filed a revision petition before the Hon'ble Coal Tribunal, Ministry of Coal, Govt. of India, the adjudicating authority under the MMDR Act. The Revisional Authority vide its interim order dt.16.01.2018 has stayed the execution of the demand till further order. The said demand has not been acknowledged as debt and included under Contingent Liability in para 4(a)(1) of Note 38 of the Standalone Ind AS financial statement.	No Comments.

Annexure - "B" referred to in paragraph 2 of "Report on Other Legal and Regulatory Requirements " of independent Auditor's Report to the members of the Company on the standalone Ind AS financial statements for the year ended March 31, 2021, we report that;

AUDITORS' REPORT	MANAGEMENT'S REPLY
(i) (a) During the course of our audit, it was observed that the Company has generally maintained proper records of fixed assets showing full particulars ***except in some cases of furniture and fixtures and office equipment location and identification mark has not been mentioned. It was also observed that in respect of furniture and fixtures, light and fittings have not been linked up with the fixed assets register.***	Physical verification of Fixed Assets is done for all assets for last 3 years and assets valuing more than Rs. 1 Lakh beyond 3 years through committee constituted at Area level as well as HQ level.
(b) According to the information as given to us, the management has conducted the Physical verification of Fixed Assets except surveyed off assets, each valuing Rs. 1.00 lakh and above, and of each asset irrespective of the value in case of additions during the last three years, has been conducted at reasonable intervals. As informed to us, no material discrepancies have been noticed on such verification.	No Comments.
(c) According to the information and explanation given to us, land transferred from erstwhile coal companies under pre- nationalization period to CCL under Coal Mines (Nationalization Act) 1973 were vested in Coal Mines Authority Limited by Statutory Order No. GSR/345.E dated 9th July 1973, New Delhi. The Deeds are kept in Land & Revenue department and also available at CCL website. Land acquired under Coal Bearing Areas (Acquisition and Development) Act 1957 under section 9(1) of CB Act along with the S.O. are uploaded in CCL website. On payment of final land compensation to the land oustees, original land documents are kept in the Land & Revenue Department of CCL. In rest of the cases, the title deeds are kept with concerned department of the CCL. ***However, management could not provide the details of property in land classification-wise held by the company such as -Date of property held/nature of property/Location of Property/ Acquisition value/Total value of property / Grand Total value of the property, reconciling the value as appearing in Asset Register/ financial statement under PPE-Land & Other Land. Under the circumstances, we are unable to comment upon discrepancies, if any.***	Land acquired under Coal Bearing Areas (Acquisition and Development) Act 1957 under section 9(1) of CB Act along with the S.O. are uploaded in CCL website.

AUDITORS' REPORT	MANAGEMENT'S REPLY
(ii) (a) As per policies of the company, physical Verification of Coal, Coke, etc. has been done by way of volumetric measurement with reference to contour map at each mine by the Inter-Area measurement team at different location. The Inter-Area team has given their report with respect to the same. The company is constantly following the accounting policy in this respect that in case of variance up to +/- 5 % between the Book Stock & Measured Stock, Book Stock is considered for valuation of closing stock and Variance, if any within the prescribed limit, found is ignored.	No Comments.
b) The company has a system of carrying out physical verification of Stores and Spares by External agency duly appointed by HO in due interval. ***As per information and explanations given to us, due to COVID-19 circumstances, the management could not get done the physical verification of inventories of stores & spares at the year end. Therefore, we are unable to comment upon discrepancies arising therefrom, if any.***	No Comments.
(iii) According to the information and explanations given to us, the Company has not granted any loan, secured or unsecured, to companies, firms, Limited liability partnership of other parties covered in the register maintained under Section 189 of the Act, except maintaining a Current Account with the holding Company. (a) Interest is allowed by the holding company on such account. Considering the holding and subsidiary relationship, we are unable to express our opinion on the rate of interest and other terms and conditions of such current account. (b) As per records, the receipts of interest are regular. (c) Since there is no overdue amount, hence, clause iii (c) of the Order is not applicable.	No Comments.
(iv) According to the information and explanations given to us, the Company has complied with the provisions of sections 185 and 186 of the Act, in respect of the loans and investments made and guarantees and security provided by it.	No Comments.

AUDITORS' REPORT	MANAGEMENT'S REPLY
(v) The Company has not accepted any deposit, in terms of the directives issued by the Reserve Bank of India and the provisions of Sections 73 to 76 or any other relevant provisions of the Companies Act and the rules framed there under. However, balances in respect of amount received in the course of, or for the purpose of the business of the Company as Earnest Money Deposits, Security Deposits and Advance Deposits from Customers / Others, the Company is of the view that these deposits do not come under the purview of the Companies (Acceptance of Deposits) Rules 2014.	No Comments.
(vi) We have broadly reviewed the cost records maintained by the company as prescribed by the Central Government under section 148(1) of the Companies Act, 2013 and are of the opinion that prima facie the prescribed accounts and records have been made and maintained. However, we have not made a detailed examination of the cost records with the view to determine whether they are accurate or complete.	No Comments.
(vii) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, amounts deducted/ accrued in the books of account in respect of undisputed statutory dues including provident fund, income- tax, sales tax, pension fund, professional tax, MMDR, Royalty, value added tax, duty of customs, service tax, cess and other material statutory dues generally have been regularly deposited during the year by the Company with the appropriate authorities. According to the information and explanations given to us, no undisputed amounts payable in respect of provident fund, income tax, sales tax, pension fund, professional tax, MMDR, Royalty, value added tax, duty of customs, service tax, cess and other material statutory dues were in arrears as at 31 March 2021 for a period of more than six months from the date they became payable.	No Comments.
(b) According to the information and explanations given to us, there are no material dues of duty of customs which have not been deposited with the appropriate authorities on account of any dispute. However, the following dues of income tax, sales tax, duty of excise, service tax, value added tax and other statutory liabilities which have not been deposited by the Company on account of disputes have been disclosed in **"Appendix-1".**	No Comments.

AUDITORS' REPORT		MANAGEMENT'S REPLY
(viii)	According to the information and explanations given to us and on the basis of books and records examined by us, we report that the Company has not defaulted in repayment of loans or borrowings to financial institutions, banks and government. The company has not issued any debentures.	No Comments.
(ix)	According to the information and explanations given to us and on the basis of books and records examined by us, the Company did not raise any money by way of initial public offer or further public offer (including debt instruments) and term loans during the year. Accordingly, paragraph 3 (ix) of the Order is not applicable.	No Comments.
(x)	According to the information and explanations given to us, no material fraud by the Company and any fraud on the Company by its officers and employees has been noticed or reported during the year.	No Comments.
(xi)	Section 197 of the Act regarding managerial remuneration is not applicable to Govt. Company by virtue of Notification No. G.S.R 463(E) dated 05.06.2015 issued by the Ministry of Corporate Affairs, Govt. of India.	No Comments.
(xii)	In our opinion and according to the information and explanations given to us, the Company is not a Nidhi company. Accordingly, paragraph 3(xii) of the Order is not applicable.	No Comments.
(xiii)	According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with sections 177 and 188 of the Companies Act, 2013 where applicable and details of such transactions have been disclosed in the financial statements etc. as required by the applicable accounting standards	No Comments.
(xiv)	According to the information and explanations give to us and based on our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year.	No Comments.
(xv)	According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not entered into non- cash transactions with directors or persons connected with him. Accordingly, paragraph 3(xv) of the Order is not applicable.	No Comments.

AUDITORS' REPORT	MANAGEMENT'S REPLY
(xvi) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act 1934 Accordingly, Clause 3(xvi) of the order is not applicable.	No Comments.

For **K.C.Tak & CO.**
CHARTERED ACCOUNTANTS,
(Firm Registration No. 000216C)

(CA Anil Jain)
Partner
(M. No. 079005)

Place:Ranchi
Dated :20.07.2021
UDIN - 21079005AAAAAS4770

Annexure — "C" referred to in paragraph 3(g) of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the standalone Ind AS financial statements for the for the year ended March 31, 2021, we report that;

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Subsection 3 of Section 143 of the Companies Act, 2013 ("the Act")

AUDITORS' REPORT	MANAGEMENT'S REPLY
We have audited the internal financial controls over financial reporting of 'Central Coalfields Limited' ("the Company") as of 31March 2021 in conjunction with our audit of the Standalone Ind AS financial statements of the Company for the year ended on that date. **Management's Responsibility for Internal Financial Controls** The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013. **Auditors' Responsibility** Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.	

AUDITORS' REPORT	MANAGEMENT'S REPLY

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement Standalone Ind AS financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Standalone Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Standalone Ind AS financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial

AUDITORS' REPORT	MANAGEMENT'S REPLY

controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March 2021, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

However, further improvement is required in i) the documentation of Internal Financial Controls of the Company in respect of its risk assessment process, risk analysis of different functional areas and incorporating the process flows at departmental levels including risk mitigation in respect of insurance coverage, ii) strengthening of the monitoring of controls in respect of expenses and fixed assets, confirmation/reconciliation/adjustment of balances of loans, other financial assets, other current and non-current assets, trade payables, other financial liabilities and other current liabilities , iii) inadequate design of information technology system and application controls that prevent the information system from providing complete and integrated information consistent with financial reporting objectives.

Our opinion is not qualified in respect of the above matters.

For **K.C.Tak & CO.**
CHARTERED ACCOUNTANTS,
(Firm Registration No. 000216C)

(CA Anil Jain)
Partner
(M. No. 079005)

Place:Ranchi
Dated :20.07.2021
UDIN - 21079005AAAAAS4770

Appendix- "1" referred to in clause vii to ANNEXURE - "B" Referred to in paragraph 2 of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the standalone Ind AS financial statements for the year ended March 31, 2021

DETAILS of DISPUTED STATUTORY LIABILITIES AS ON 31.03.2021

(Figures Rs. in Crores)

TAX TYPE	NO. OF CASES	NAME OF COURT	PERIOD	DISPUTED AMOUNT	PAYMENT UNDER PROTEST	AMOUNT NOT DEPOSITED
ROYALTY CASES	55	Certificate Office - Dhanbad, Ranchi, Bokaro, Hazaribagh / DMO / DD(M)	1984-85 to 2018-19	145.14	4.58	140.56
ROYALTY CASES	8	Dy. Commissioner - Hazaribagh, Ramgarh	1995-96 to 2019-20	5.19	1.74	3.45
ROYALTY CASES	5	Commissioner - Hazaribagh	1992-93 to 2008-09	4.73	1.26	3.47
ROYALTY CASES	35	High Court, Jharkhand	1987-88 to 2018-19	1508.00	16.91	1491.09
ROYALTY CASES	5	Supreme Court, Delhi	91-92, 98-99, 99-00, 08-09	52.66	16.75	35.91
SALES TAX CASES	44	Commercial Tax Officer - Ranchi, Ramgarh, Haz, Tenughat	1996-97 to 2016-17	60.89	21.80	39.09
SALES TAX CASES	153	JCCT(A), Hazaribagh	1989-90 to 2017-18	262.18	55.67	206.51
SALES TAX CASES	227	JCCT(A), Ranchi	1985-86 to 2016-17	508.92	96.60	412.32
SALES TAX CASES	80	Commissioner Commercial Tax, Ranchi	1988-89 to 2015-16	238.84	53.94	184.9
SALES TAX CASES	145	TRIBUNAL, Ranchi	1990-91 to 2014-15	388.50	69.80	318.70
SALES TAX CASES	1	High Court, Jharkhand	2011-12	3.87	3.87	-
ELECTRICITY DUTY CASES	33	DCCT	2003-04 to 2018-19	10.06	0.75	9.31
ELECTRICITY DUTY CASES	230	JCCT(A), Hazaribagh	1992-93 to 2017-18	59.66	19.33	40.33
ELECTRICITY DUTY CASES	9	CCT, Ranchi	2006-07 to 2017-18	13.06	9.74	3.32
ELECTRICITY DUTY CASES	25	TRIBUNAL, Ranchi	1993-94 to 2017-18	4.00	1.81	2.19
ELECTRICITY DUTY CASES	10	High Court, Jharkhand	1997-98 to 2017-18	10.54	6.73	3.81
ENTRY TAX CASES	1	Supreme Court, Delhi	2006-07	25.00	-	25.00
SERVICE TAX & EXCISE CASES	10	Commissioner, Ranchi	2008-09 to 2017-18	62.45	1.27	61.18
SERVICE TAX & EXCISE CASES	13	CESTAT, Kolkata	2016-17	86.81	1.96	84.85
SERVICE TAX & EXCISE CASES	1	High Court, Jharkhand	2017-18	941.66	0.00	941.66
SERVICE TAX & EXCISE CASES	2	Others	2012-13 to 2017-18	1.06	0.06	1.00
INCOME TAX CASES	1	DCIT, Ranchi	2004-05	1.94	1.94	-
INCOME TAX CASES	2	CIT(A), Ranchi	2017-18 & 2018-19	314.20	140.79	173.41
INCOME TAX CASES	11	ITAT	2006-07 to 2016-17	492.65	463.65	29.00
INCOME TAX CASES	2	Others	2007-08 to 2018-19	0.30	-	0.30
		TOTAL		**5,202.34**	**990.94**	**4211.40**

CONSOLIDATED STATEMENT OF ASSETS AND LIABILITIES AS AT 31.03.2021

(Rs. in Crores)

Sl. No.	Particulars	As at 31.03.2021 (Audited)	As at 31.03.2020 (Audited)
A	**EQUITY AND LIABILITIES**		
1.	**Shareholders' funds**		
	(a) Equity Share Capital	940.00	940.00
	(b) Other Equity	6,610.84	5,452.60
	(c) Money Received against Share Warrants	—	—
	Sub - total - Shareholder's funds	**7,550.84**	**6,392.60**
2	**Share Application Money pending allotment**	**—**	**—**
3	**Non-Controlling Interest**	**23.92**	**23.87**
4	**Non-Current Liabilities**		
	(a) Financial Liabilities	84.40	81.21
	(b) Deferred Tax Liabilities (Net)	—	—
	(c) Other Non-current Liabilities	537.33	578.07
	(d) Provisions	4,741.50	4,116.22
	Sub - total - Non-current Liabilities	**5,363.23**	**4,775.50**
5	**Current Liabilities**		
	(a) Financial Liabilities	2,555.52	2,046.00
	(b) Current Tax Liabilities (net)	—	—
	(c) Other Current Liabilities	3,153.00	2,425.22
	(d) Provisions	834.70	942.30
	Sub - total - Current Liabilities	6,543.22	5,413.52
	TOTAL - EQUITY AND LIABILITIES	**19,481.21**	**16,605.49**
B	**ASSETS**		
1	**Non- current Assets**		
	(a) Fixed Assets	7,202.85	6,036.92
	(b) Goodwill on consolidation	—	—
	(c) Deferred Tax Assets (Net)	674.14	843.44
	(d) Financial Assets	1,251.02	1,286.23
	(e) Other Non-current Assets	1,299.63	991.60
	Sub-total - Non-current Assets	**10,427.64**	**9,158.19**
2	**Current assets**		
	(a) Financial Assets	4,901.96	3,426.76
	(b) Inventories	1,288.67	1,233.36
	(c) Other Current Assets	2,711.22	2,724.72
	(d) Current Tax Assets (net)	151.72	62.46
	Sub - total - Current Assets	9,053.57	7,447.30
	TOTAL - ASSETS	**19,481.21**	**16,605.49**

Sd/- (Ravi Prakash) Company ecretary	Sd/- (J. P. Vishwakarma) General Manager (Finance)	Sd/- (N. K. Agrawal) Director (Finance) DIN- 0008525175	Sd/- (P. M. Prasad) Chairman-cum-Managing Director DIN- 08073913

In terms of our Report of even date
For **K. C. Tak & Co.**
Chartered Accountants
(Firm Reg.No. 000216C)
Sd/-
(Anil Jain)
Partner
(Membership No. 079005)

Place : Ranchi
Dated : 04 June, 2021
UDIN: 21079005AAAAAR2632

STATEMENT OF CONSOLIDATED RESULTS FOR THE YEAR ENDED 31.03.2021

(Rs. in Crores except Shares and EPS)

Sl. No.	Particulars	Quarter Ended			Year Ended	
		31.03.2021	31.03.2020	31.12.2020	31.03.2021	31.03.2020
		Unaudited	Unaudited	Unaudited	Audited	Audited
1	**Income from Operations**					
	Gross Sales	5,098.53	4,125.15	4,240.91	15,900.51	16,768.33
	Less: Other levies	1,652.62	1,337.39	1,466.53	5,126.19	5,125.69
	(a) Net Sales/ Income from operations (Net of levies)	**3,445.91**	**2,787.76**	**2,774.38**	**10,774.32**	**11,642.64**
	(b) Other operating income	318.27	246.16	284.95	990.57	938.08
	Total income from operations (Net) (a+b)	**3,764.18**	**3,033.92**	**3,059.33**	**11,764.89**	**12,580.72**
2	**Expenses**					
	(a) Cost of materials consumed	239.58	234.20	165.02	730.39	762.94
	(b) Changes in inventories of finished goods, work-in-progress and Stock-In-Trade	(206.90)	(430.62)	(72.04)	(57.43)	126.37
	(c) Employee Benefits Expense	1,374.73	1,357.60	1,291.73	5,272.13	5,260.30
	(d) Depreciation/amortisation/impairment	178.26	231.70	121.51	553.59	490.39
	(e) Power & fuel Expenses	62.03	59.22	61.27	236.64	226.86
	(f) Corporate Social Responsibility Expenses	5.91	42.59	1.92	46.46	52.89
	(g) Repairs	146.45	170.26	57.56	287.91	347.09
	(h) Contractual Expenses	595.18	556.76	421.49	1,638.11	1,604.04
	(i) Other Expenses	270.97	333.52	265.03	988.14	1,091.08
	(j) Provisions/write off	6.08	5.34	4.05	13.60	36.88
	(k) Stripping Activity Adjustment	355.18	359.57	153.57	365.87	180.41
	Total expenses (a to k)	**3,027.47**	**2,920.14**	**2,471.11**	**10,075.41**	**10,179.25**
3	**Profit/ (Loss) from operations before other income, finance costs and exceptional items (1-2)**	**736.71**	**113.78**	**588.22**	**1,689.48**	**2,401.47**
4	Other income	120.36	408.86	49.49	310.14	608.73
5	**Profit / (Loss) from ordinary activities before finance costs and exceptional items (3+4)**	**857.07**	**522.64**	**637.71**	**1,999.62**	**3,010.20**

STATEMENT OF CONSOLIDATED RESULTS FOR THE YEAR ENDED 31.03.2021 (CONTD...)

(Rs. in Crores except Shares and EPS)

Sl. No.	Particulars	Quarter Ended			Year Ended	
		31.03.2021	31.12.2020	31.03.2020	31.03.2021	31.03.2020
		Unaudited	Unaudited	Unaudited	Audited	Audited
6	Finance costs	29.62	18.92	18.03	84.27	75.71
7	**Profit / (Loss) from ordinary activities after finance costs but before exceptional items (5-6)**	**827.45**	**503.72**	**619.68**	**1,915.35**	**2,934.49**
8	Exceptional items	—	—	—	—	—
9	**Profit / (Loss) from ordinary activities before tax (7-8)**	**827.45**	**503.72**	**619.68**	**1,915.35**	**2,934.49**
10	Tax expense	405.11	106.08	160.85	692.78	1,085.40
11	**Net Profit / (Loss) for the year (9-10) [A]**	**422.34**	**397.64**	**458.83**	**1,222.57**	**1,849.09**
12	Extraordinary items (Net of tax expense)	—	—	—	—	—
13	**Net Profit / (Loss) after taxes but before share of profit / (loss) of associates and minority interest (11 + 12)**	**422.34**	**397.64**	**458.83**	**1,222.57**	**1,849.09**
14	Share of Profit / (loss) of Associates	—	—	—	—	—
15	Minority Interest	—	—	—	—	—
16	**Net Profit / (Loss) for the year (13 + 14 + 15)**	**422.34**	**397.64**	**458.83**	**1,222.57**	**1,849.09**
17	Other Comprehensive Income/(loss)(net of tax) [B]	(42.25)	(73.68)	(51.60)	(64.28)	(244.24)
18	**Total Comprehensive Income/(loss) [A + B]**	**380.09**	**323.96**	**407.23**	**1,158.29**	**1,604.85**
19	Paid-up Equity share capital (Face Value of share Rs. 1000/- each)	940.00	940.00	940.00	940.00	940.00
20	**Earnings per share (EPS) (Face Value of share Rs. 1000 /-each) (not annualised)**					
	(a) Basic	**449.26**	**422.74**	**488.08**	**1,300.24**	**1,966.52**
	(b) Diluted	**449.26**	**422.74**	**488.08**	**1,300.24**	**1,966.52**

Sd/-
(Ravi Prakash)
Company ecretary

Sd/-
(J. P. Vishwakarma)
General Manager (Finance)

Sd/-
(N. K. Agrawal)
Director (Finance)
DIN- 0008525175

Sd/-
(P. M. Prasad)
Chairman-cum-Managing Director
DIN- 08073913

In terms of our Report of even date
For **K. C. Tak & Co.**
Chartered Accountants
(Firm Reg.No. 000216C)
Sd/-
(Anil Jain)
Partner
(Membership No. 079005)

Place : Ranchi
Dated : 04 June, 2021
UDIN: 21079005AAAAAR2632

CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH, 2021

(Rs. in Crores)

	Notes	As at 31.03.2021	As at 31.03.2020
ASSETS			
Non-Current Assets			
(a) Property, Plant & Equipments	3	5,532.03	4,670.14
(b) Capital Work in Progress	4	1,160.10	913.96
(c) Exploration and Evaluation Assets	5	499.79	448.45
(d) Intangible Assets	6	10.93	4.37
(e) Intangible Assets under Development		—	—
(f) Investment Property		—	—
(g) Financial Assets			
(i) Investments	7	—	—
(ii) Loans	8	0.49	0.55
(iii) Other Financial Assets	9	1,250.53	1,285.68
(h) Deferred Tax Assets (net)		674.14	843.44
(i) Other Non-current Assets	10	1,299.63	991.60
Total Non-Current Assets (A)		**10,427.64**	**9,158.19**
Current Assets			
(a) Inventories	12	1,288.67	1,233.36
(b) Financial Assets			
(i) Investments	7	—	0.48
(ii) Trade Receivables	13	3,402.53	2,492.11
(iii) Cash & Cash Equivalents	14	256.04	184.00
(iv) Other Bank Balances	15	986.69	490.85
(v) Loans	8	—	—
(vi) Other Financial Assets	9	256.70	259.32
(c) Current Tax Assets (Net)		151.72	62.46
(d) Other Current Assets	11	2,711.22	2,724.72
Total Current Assets (B)		**9,053.57**	**7,447.30**
Total Assets (A+B)		**19,481.21**	**16,605.49**

CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH, 2021 (Contd.)

(Rs. in Crores)

	Notes	As at 31.03.2021	As at 31.03.2020
EQUITY AND LIABILITIES			
Equity			
(a) Equity Share Capital	16	940.00	940.00
(b) Other Equity	17	6,610.84	5,452.60
Equity attributable to Equityholders of the Company		7,550.84	6,392.60
Non-Controlling Interest		23.92	23.87
Total Equity (A)		**7,574.76**	**6,416.47**
Liabilities			
Non-Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	18	—	—
(ii) Trade Payables		—	—
(iii) Other Financial Liabilities	20	84.40	81.21
(b) Provisions	21	4,741.50	4,116.22
(c) Other Non-Current Liabilities	22	537.33	578.07
Total Non-Current Liabilities (B)		**5,363.23**	**4,775.50**
Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	18	55.00	50.00
(ii) Trade Payables	19		
Total outstanding dues of micro and small enterprises		—	0.46
Total outstanding dues of Creditors other than micro and small enterprises		1,367.47	1,197.45
(iii) Other Financial Liabilities	20	1,133.05	798.09
(b) Other Current Liabilities	23	3,153.00	2,425.22
(c) Provisions	21	834.70	942.30
(d) Current Tax Liabilities (net)		—	—
Total Current Liabilities (C)		**6,543.22**	**5,413.52**
Total Equity and Liabilities (A+B+C)		**19,481.21**	**16,605.49**
Significant Accounting Policy	2		
Additional Notes to the Financial Statements	38		

The Accompanying Notes form an integral part of the Financial Statements.

Sd/-	Sd/-	Sd/-	Sd/-
(Ravi Prakash)	(J. P. Vishwakarma)	(N. K. Agrawal)	(P. M. Prasad)
Company ecretary	General Manager (Finance)	Director (Finance)	Chairman-cum-Managing Director
		DIN- 08525175	DIN- 08073913

In terms of our Report of even date
For **K. C. Tak & Co.**
Chartered Accountants
(Firm Reg.No. 000216C)
Sd/-
(Anil Jain)
Partner
(Membership No. 079005)

Place : Ranchi
Dated : 04 June, 2021
UDIN: 21079005AAAAAR2632

CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31ST MARCH, 2021

(Rs. in Crores)

		Notes	For the year ended 31.03.2021	For the year ended 31.03.2020
Revenue from Operations				
A.	Sales (Net of levies)	**24**	10,774.32	11,642.64
B.	Other Operating Revenue (Net of levies)		990.57	938.08
(I)	**Revenue from Operations (A+B)**		**11764.89**	**12,580.72**
(II)	Other Income	25	310.14	608.73
(III)	**Total Income (I+II)**		**12,075.03**	**13,189.45**
(IV)	**Expenses**			
	Cost of Materials Consumed	26	730.39	762.94
	Changes in inventories of finished goods/work in progress and Stock in trade	27	(57.43)	126.37
	Employee Benefits Expense	28	5,272.13	5,260.30
	Power Expenses		236.64	226.86
	Corporate Social Responsibility Expenses	29	46.46	52.89
	Repairs	30	287.91	347.09
	Contractual Expenses	31	1,638.11	1,604.04
	Finance Costs	32	84.27	75.71
	Depreciation/Amortization/ Impairment		553.59	490.39
	Provisions	33	13.60	8.98
	Write off	34	—	27.90
	Stripping Activity Adjustments		365.87	180.41
	Other Expenses	35	988.14	1,091.08
	Total Expenses (IV)		**10,159.68**	**10,254.96**
(V)	Profit before Exceptional items and Tax (III-IV)		1,915.35	2,934.49
(VI)	Exceptional Items		—	—
(VII)	**Profit before Tax (V-VI)**		**1,915.35**	**2,934.49**
(VIII)	Tax expense	36		
	Current Tax		523.48	889.75
	Deferred Tax		169.30	195.65
(IX)	**Profit for the year from continuing operations (VII-VIII)**		**1,222.57**	**1,849.09**
(X)	Profit from discontinued operations		—	—
(XI)	Tax expenses of discontinued operations		—	—
(XII)	Profit from discontinued operations (after Tax) (X-XI)		—	—
(XIII)	Share in JV's/Associate's Profit/(Loss)		—	—
(XIV)	**Profit for the year (IX+XII+XIII)**		**1,222.57**	**1,849.09**
Other Comprehensive Income		**37**		
A (i)	Items that will not be reclassified to profit or loss		(85.90)	(326.38)
(ii)	Income tax relating to items that will not be reclassified to profit or loss		(21.62)	(82.14)
B (i)	Items that will be reclassified to profit or loss		—	—
(ii)	Income tax relating to items that will be reclassified to profit or loss		—	—
(XV)	**Total Other Comprehensive Income**		**(64.28)**	**(244.24)**

CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31ST MARCH, 2021 (Contd.)

(Rs. in Crores)

		Notes	For the year ended 31.03.2021	For the year ended 31.03.2020
(XVI)	**Total Comprehensive Income for the year (XIV+XV)** (Comprising Profit /(Loss) and Other Comprehensive Income for the year)		1,158.29	1,604.85
	Profit attributable to :			
	Owners of the Company		1,222.23	1,848.53
	Non-Controlling Interest		0.34	0.56
			1,222.57	**1,849.09**
Other Comprehensive Income attributable to :				
	Owners of the Company		(64.28)	(244.24)
	Non-Controlling Interest		–	–
			(64.28)	**(244.24)**
Total Comprehensive Income attributable to :				
	Owners of the Company		1,157.95	1,604.29
	Non-Controlling Interest		0.34	0.56
(XVII)	**Earnings per Equity Share (for continuing operation) :**			
	(1) Basic		1,300.24	1,966.52
	(2) Diluted		1,300.24	1,966.52
(XVIII)	**Earnings per Equity Share (for discontinued operation) :**			
	(1) Basic		–	–
	(2) Diluted		–	–
(XIX)	**Earnings per Equity Share (for discontinued & continuing operation) :**			
	(1) Basic		1,300.24	1,966.52
	(2) Diluted		1,300.24	1,966.52

Significant Accounting Policy 2
Additional Notes to the Financial Statements 38

The Accompanying Notes form an integral part of the Financial Statements.

Sd/-	Sd/-	Sd/-	Sd/-
(Ravi Prakash)	(J. P. Vishwakarma)	(N. K. Agrawal)	(P. M. Prasad)
Company ecretary	General Manager (Finance)	Director (Finance)	Chairman-cum-Managing Director
		DIN- 08525175	DIN- 08073913

In terms of our Report of even date
For **K. C. Tak & Co.**
Chartered Accountants
(Firm Reg.No. 000216C)
Sd/-
(Anil Jain)
Partner
(Membership No. 079005)

Place : Ranchi
Dated : 04 June, 2021
UDIN: 21079005AAAAAR2632

CONSOLIDATED CASH FLOW STATEMENT (INDIRECT METHOD)
FOR THE YEAR ENDED 31ST MARCH, 2021

(Rs. in Crores)

		For the year ended 31.03.2021	For the year ended 31.03.2020
CASH FLOW FROM OPERATING ACTIVITIES			
Total Comprehensive Income before tax		1,829.45	2,608.11
Adjustments for :			
Depreciation, Amortisation and Impairment expenses		(553.59)	490.40
Interest and Dividend Income		(80.90)	(148.52)
Finance cost		84.27	75.71
(Profit) / Loss on sale of Fixed Assets		1.52	3.05
Other Provisions		13.60	36.88
Liability write back during the Year		(108.53)	(331.17)
Stripping Activity Adjustment		365.87	180.41
Operating Profit before Current/Non Current Assets and Liabilities		**2658.87**	**2,912.87**
Adjustment for :			
Trade Receivables (Net of Provision)		(910.42)	(1,396.98)
Inventories		(55.31)	120.30
Loans and Advaces and other financial assets		(176.66)	531.84
Financial and Other Liabilities		1206.42	(534.15)
Cash Generated from Operation		**2722.90**	**1,633.88**
Income Tax Paid/Refund		(578.06)	(847.58)
Net Cash Flow from Operating Activities	**(A)**	**2,144.84**	**786.30**
CASH FLOW FROM INVESTING ACTIVITIES			
Purchase of Property, Plant and Equipment		(1,579.07)	(1,044.69)
Proceeds/(Investment) in Bank Deposit		(495.84)	350.66
Proceeds/(Investment) in Mutual Fund, Shares etc.		0.48	52.08
Investment in Subsidiary		—	0.10
Interest from Investment		—	—
Interest and Dividend income		80.90	148.52
Net Cash from Investing Activities	**(B)**	**(1,993.53)**	**(493.33)**

CONSOLIDATED CASH FLOW STATEMENT (INDIRECT METHOD) (Contd.)
FOR THE YEAR ENDED 31ST MARCH, 2021

(Rs. in Crores)

		For the year ended 31.03.2021	For the year ended 31.03.2020
CASH FLOW FROM FINANCING ACTIVITIES			
Repayment/Increase in Borrowings		5.00	50.00
Interest & Finance cost pertaining to Financing Activities		(84.27)	(75.71)
Dividend on Equity shares		—	(294.22)
Tax on Dividend on Equity shares		—	(60.48)
Net Cash used in Financing Activities	(C)	**(79.27)**	**(380.41)**
Net Increase / (Decrease) in Cash & Bank Balances (A+B+C)		72.04	(87.44)
Cash & cash equivalents as at the beginning of the year		184.00	271.44
Cash & cash equivalents as at the end of the year		256.04	184.00

(All figures in bracket represent outflow.)

Sd/-	Sd/-	Sd/-	Sd/-
(Ravi Prakash)	(J. P. Vishwakarma)	(N. K. Agrawal)	(P. M. Prasad)
Company ecretary	General Manager (Finance)	Director (Finance)	Chairman-cum-Managing Director
		DIN- 08525175	DIN- 08073913

In terms of our Report of even date
For **K. C. Tak & Co.**
Chartered Accountants
(Firm Reg.No. 000216C)
Sd/-
(Anil Jain)
Partner
(Membership No. 079005)

Place : Ranchi
Dated : 04 June, 2021
UDIN: 21079005AAAAAR2632

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31ST MARCH, 2021 – CONSOLIDATED

A. EQUITY SHARE CAPITAL

(Rs. in Crores)

Particulars	Balance as at 01.04.2019	Changes In Equity Share Capital during the year	Balance as at 31.03.2020	Balance as at 01.04.2020	Changes In Equity Share Capital during the year	Balance as at 31.03.2021
9400000 Equity Shares of Rs.1000/- each (9400000 Equity Shares of Rs.1000/- each)	940.00	—	940.00	940.00	—	940.00

B. OTHER EQUITY

Particulars	General Reserve	Retained Earnings	OCI	Equity Attributable to Equity Shareholders	Non—controlling Interest	Total
Balance as at 01.04.2019	2,153.70	1,914.90	134.44	4,203.04	23.18	4,226.22
Changes in Accounting Policy	—	—	—	—	—	—
Prior Period Errors	—	—	—	—	—	—
Restated balance as at 01.04.2019	2,153.70	1,914.90	134.44	4,203.04	23.18	4,226.22
Additions during the year	—	—	—	—	0.10	0.10
Investment during the year (Share Application Money)	—	—	—	—	—	—
Adjustments during the year	—	(0.03)	—	(0.03)	0.03	—
Profit for the Year	—	1,848.53	(244.24)	1,604.29	0.56	1,604.85
Appropriations						—
Transfer to / from General reserve	92.39	(92.39)	—	—	—	—
Transfer to / from Other reserves	—	—	—	—	—	—
Interim Dividend	—	(294.22)	—	(294.22)	—	(294.22)
Final Dividend	—	—	—	—	—	—
Corporate Dividend tax	—	(60.48)	—	(60.48)	—	(60.48)
Buyback of Equity Shares	—	—	—	—	—	—
Tax on Buyback	—	—	—	—	—	—
Pre—operative expenses	—	—	—	—	—	—
Reimbursement of Defined Benefit Plan (Net of Tax)	—	—	—	—	—	—
Balance as at 31.03.2020	**2,246.09**	**3,316.31**	**(109.80)**	**5,452.60**	**23.87**	**5,476.47**
Balance as at 01.04.2020	2,246.09	3,316.31	(109.80)	5,452.60	23.87	5,476.47
Additions during the year	—	—	—	—	—	—
Share application money pending allotment	—	—	—	—	—	—
Adjustments during the Year	—	0.29	—	0.29	(0.29)	—